



The central bank

A central bank is the “bankers’ bank,” acting as guarantor for the rest of the banking system by supplying extra funding when it’s needed. Central banks play a critical role in setting a country’s monetary policy.

How it works

A central bank manages a country’s currency, money supply, and interest rates, and holds central bank reserves. Commercial banks rely on these central bank reserves to support their day-to-day operations. By altering the amount of the reserves, and the cost of borrowing from them (via the rate of interest, known as the reserve rate or base rate), central banks can assert control over the country’s money supply.

The base rate is usually the cheapest rate of interest available for its currency, and because central bank reserves are

fundamental to commercial banks’ ability to lend, the central bank helps to set interest rates for the entire economy. When the reserve rate rises or falls, interest rates on commercial bank loans do the same. As with the supply and demand of other commodities, when demand for reserve money is high, its price (here the reserve rate or base rate) rises. Conversely, when the demand for reserve money is low, its price falls.

Central banks often focus on regulating other specific economic targets—most typically the rate of inflation. They do this by meeting preset, publicly displayed targets.



NEED TO KNOW

- **Reserve rate** The interest rate set by the central bank that all commercial banks must pay to borrow central bank reserves. It is also known as the base rate.
- **Open Market Operations** The buying or selling of securities by the central bank on the open market in order to influence money supply.
- **Inflation targeting** A central bank monetary policy in which a specific target inflation rate is set and made public, with the intention of stabilizing prices.

LENDER OF LAST RESORT

Because banking contains an element of risk, the stability of the system depends on an institution that can provide protection to banks threatened with failure. Central banks, with their potentially unlimited quantities of central

reserves, play the role of “lender of last resort.” When a failing bank presents too risky a prospect for lenders, it can still rely on loans from the central bank. This provides a safeguard against financial collapse that could damage the economy.

Monetary targets

A central bank’s monetary policy objective is usually to deliver price stability (low inflation) and to support the government’s economic objectives. Price stability has a role in achieving economic stability more generally, and in providing the right conditions for sustainable growth. Central banks have a range of strategies to achieve this. One is to target the total amount of money in the economy: the money supply. A second strategy is to target a particular exchange rate by altering the amount of currency in circulation to affect the foreign exchange markets, and a third is to target a particular interest rate, as illustrated opposite.

19 countries
in the European Union share
a single central bank: the
European Central Bank